Executive Summary of Findings
Below is an integrated interpretation of the regression analysis results for each of E-sonic's four job structures, including an explanation of the R^2 statistic, how much each job evaluation point is worth, and how we calculated the annual market salary given a specific job evaluation point number.

Understanding the R^2 Statistic:
The R^2 indicates the proportion of variance in the dependent variable (*annual market salary*) that is explained by the independent variable (*job evaluation points*) in the regression model. For example, an R^2 of 0.72 in the Administrative structure means that 72% of the variation in market salaries for Administrative jobs is explained by their job evaluation scores (Appendix C). A lower R^2 (e.g., 0.42 for Customer Service) suggests that other factors beyond the evaluation points may be contributing more significantly to salary differences (Appendix I).

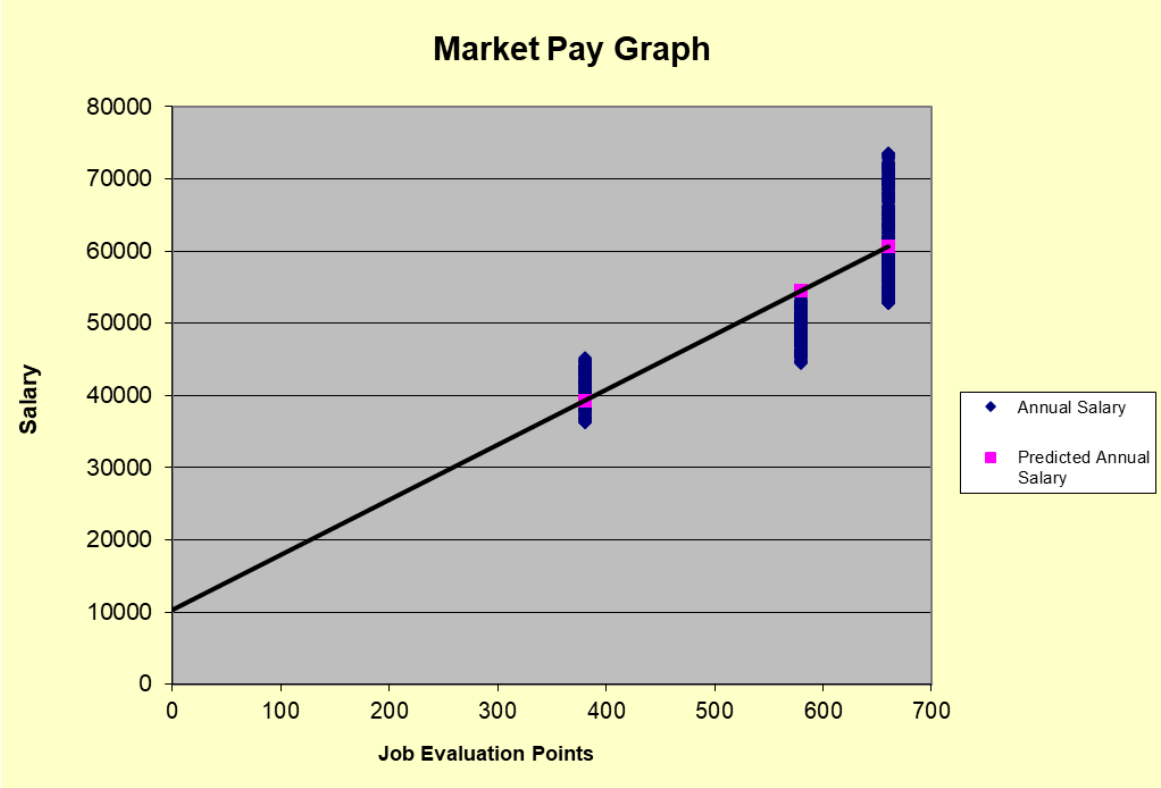
Summary and Justification of Decisions for Each Job Structure

- **Administrative**: Our regression model shows a strong relationship between evaluation points and market salary. The relatively high slope indicates that each point adds **$76.14**, and an **$R^2$ of 0.72** suggests that our evaluation points capture most of the salary variance (Appendix A). This supports our decision to use a detailed point system to distinguish roles such as Office Manager, Executive Assistant, and Office Coordinator (Appendix C).
- **Sales & Marketing**: For this regression model with a **R^2 of 0.48**, each point is worth approximately **$59.72**. Although the R^2 is moderate, it still offers a reasonable basis for differentiating roles—where strategic positions (Director of Sales & Marketing) command a higher salary than operational roles (Client Relationship Coordinator) (Appendix F).The lower slope compared to Administrative reflects a market where base salaries are higher, but the incremental value per evaluation point is less steep.
- **Customer Service**: This regression and **R^2 of 0.42** indicates that each evaluation point adds only **$27.83**. This lower incremental value, along with a lower R^2, implies that while job evaluation points contribute to market salary, external factors (*such as union contracts or standardized pay scales*) may play a larger role. The structure distinguishes high-impact roles like Director of Customer Service from frontline roles like Customer Service Representative (Appendix I).
- **Software Development**: This regression model, with a **R^2 of 0.50**, has the steepest slope. Each job evaluation point is worth approximately **$189.81**, reflecting the high demand for technical expertise and the significant market premium for software roles. Despite a moderate R^2, this structure clearly differentiates the top-tier role, Director of Software Development, from more execution-focused roles, Software Engineer, which is consistent with market expectations in the tech sector.

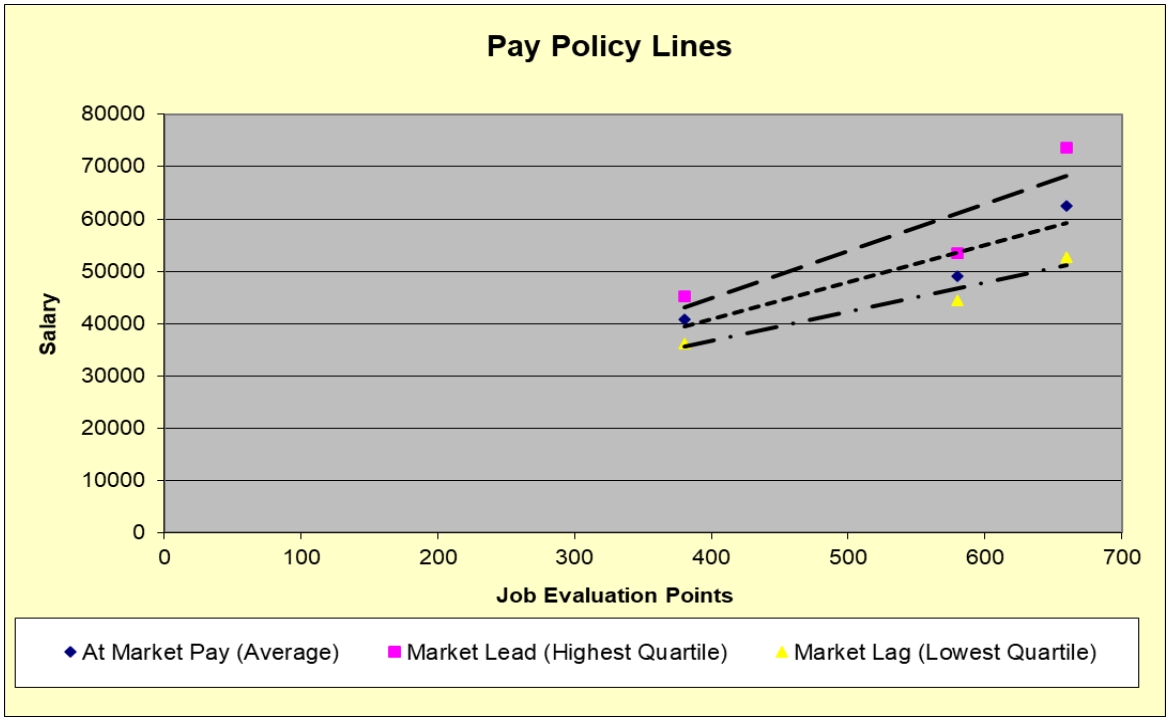
Conclusion
The regression analysis provides a quantitative link between job evaluation points and market salaries, with each structure exhibiting unique slopes and intercepts reflective of their respective market dynamics. The R^2 values indicate varying levels of how much the evaluation points explain salary differences, suggesting that while our point-factor system is robust for certain job families (e.g., Administrative), additional factors may influence market pay in others (e.g., Customer Service). By using these regression equations, E-sonic can estimate the annual market salary for any given job evaluation score, thereby ensuring that compensation decisions are both data-driven and aligned with market conditions.

Appendices

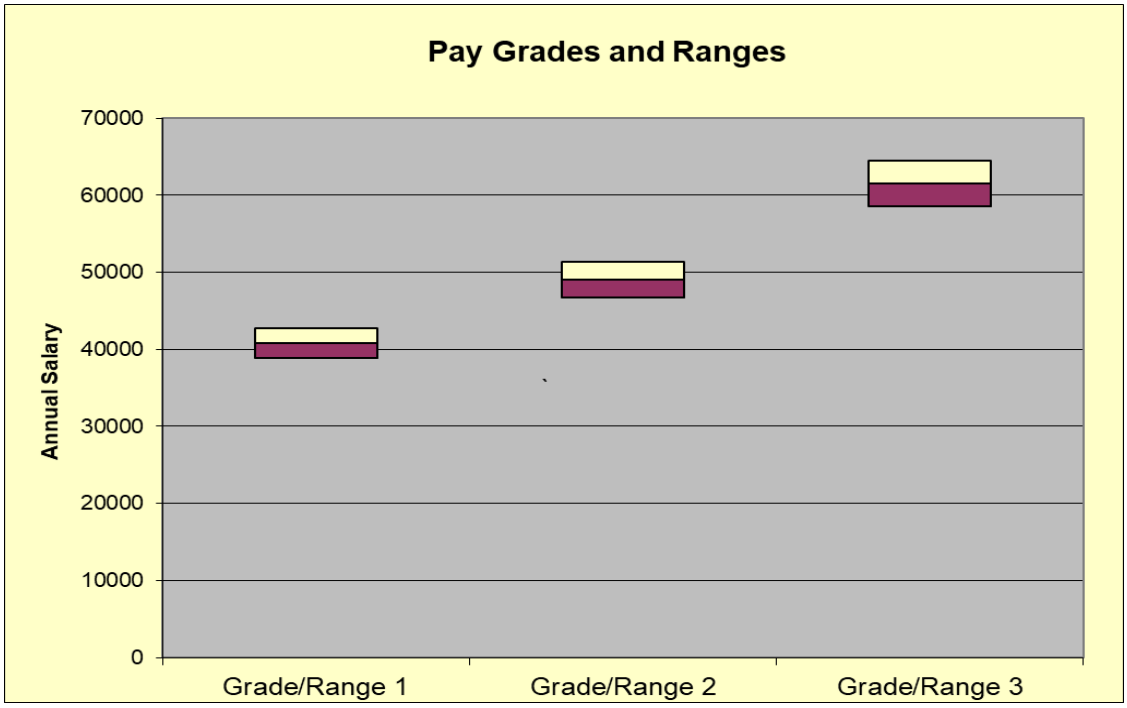
Appendix A: Market Pay Graph (Administrative)



Appendix B: Pay Policy Lines (Administrative)



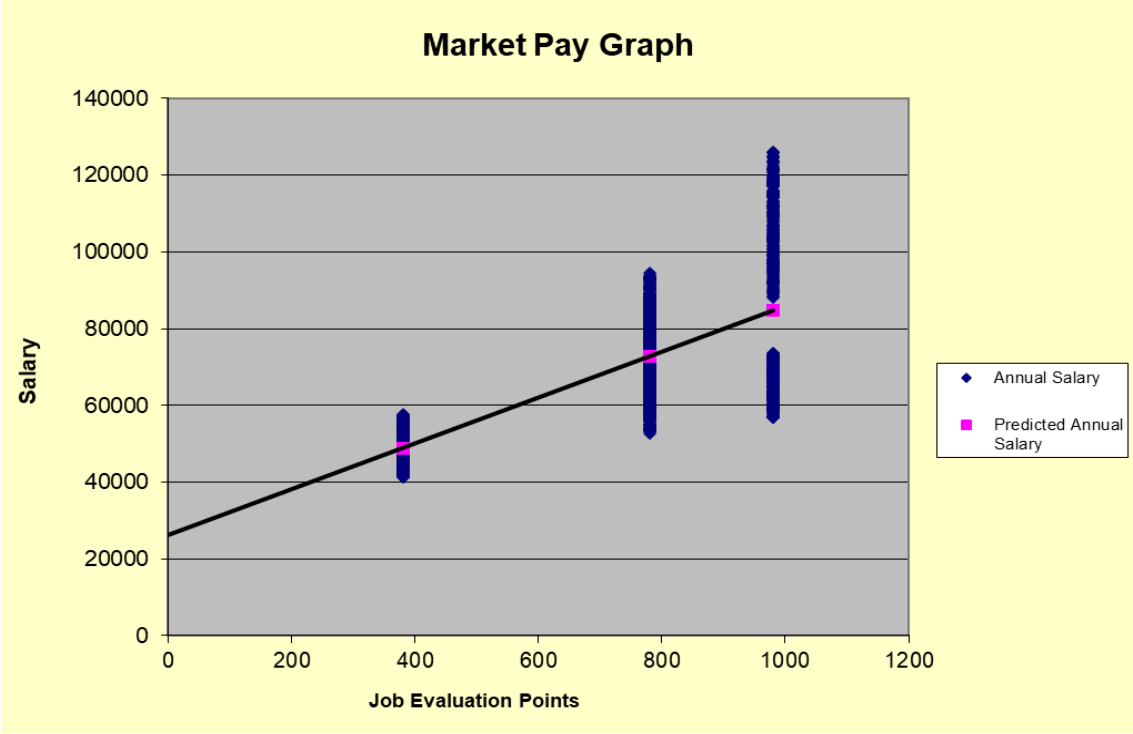
Appendix C: Pay Grades and Ranges (Administrative)



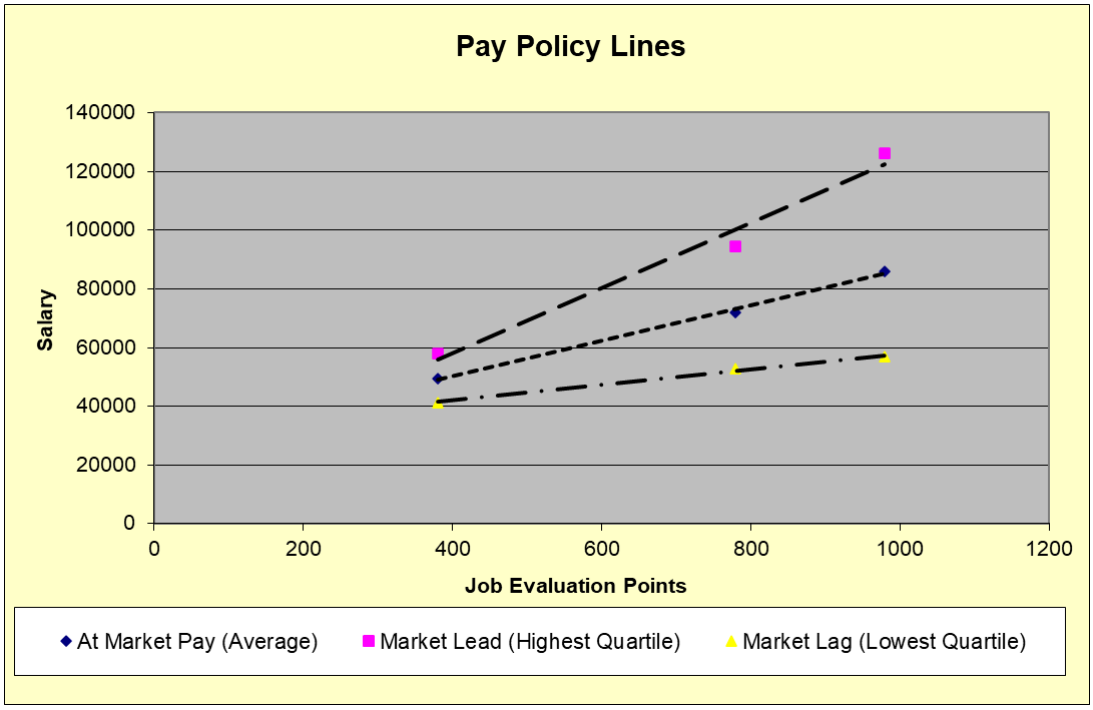
Ranges:

- **Range 1**: (1-380) → Administrative Assistant (380) Spread = 10
- **Range 2**: (381-580) → Executive Assistant (580) Spread = 10
- **Range 3**: (581-660) → Office Manager (660) Spread = 10

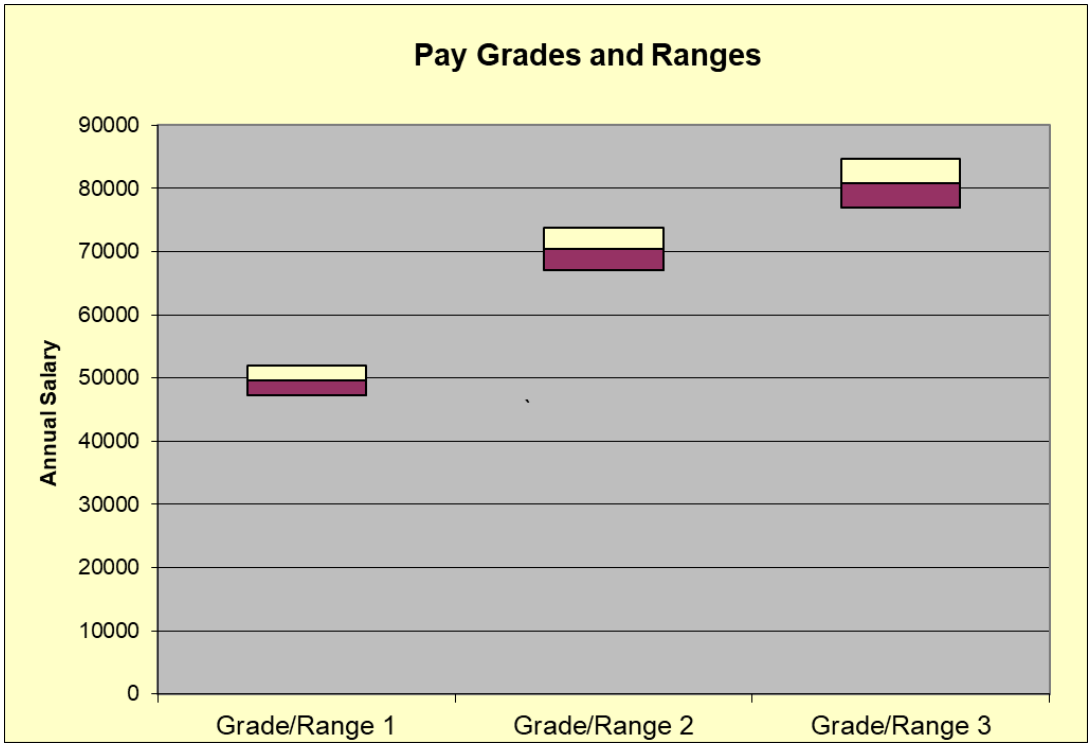
Appendix D: Market Pay Graph (Sales & Marketing)



Appendix E: Pay Policy Lines (Sales & Marketing)



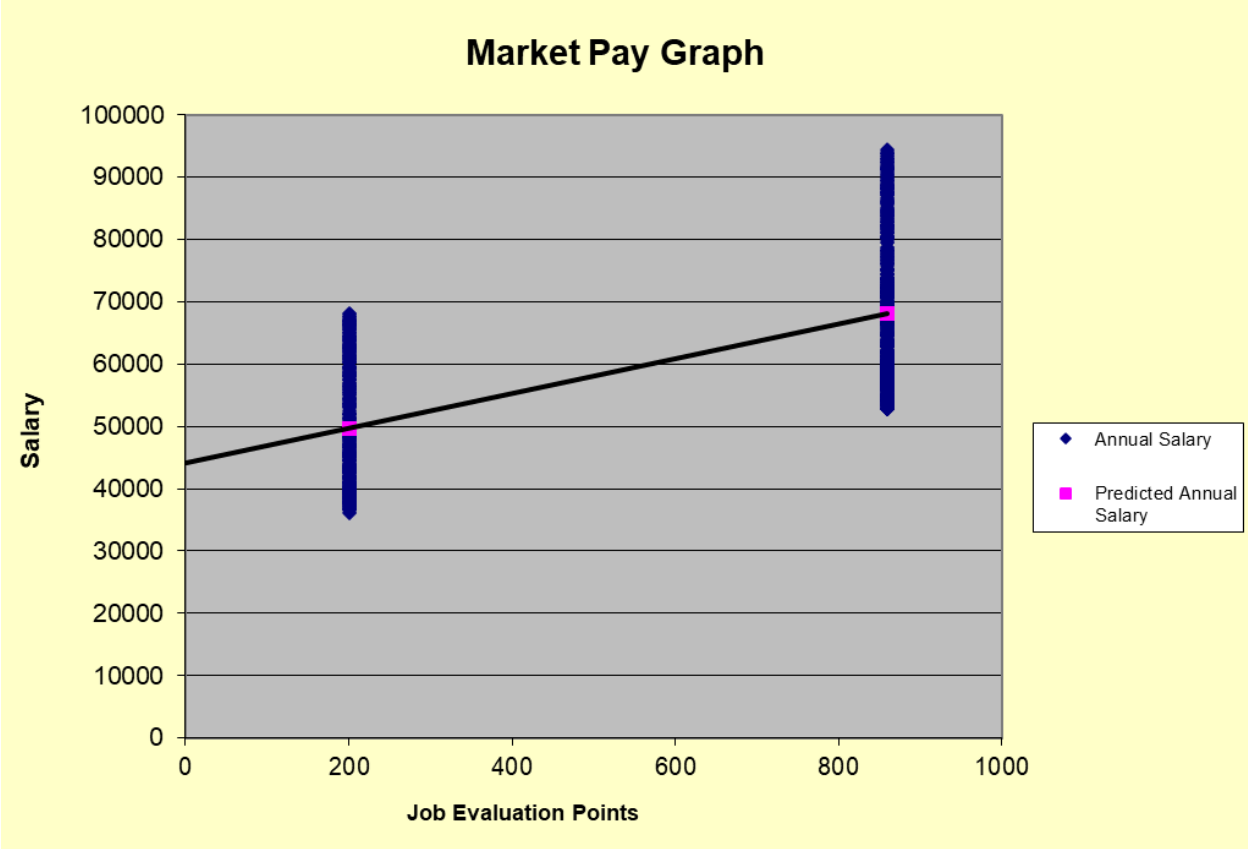
Appendix F: Pay Grades and Ranges (Sales & Marketing)



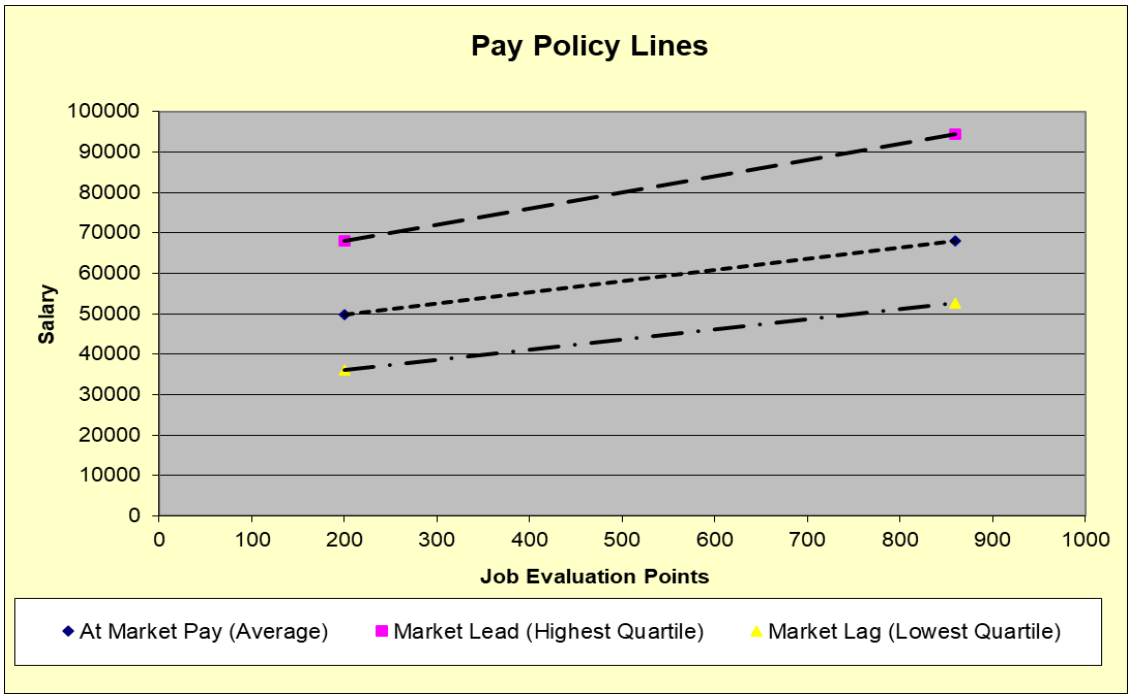
Ranges:

- **Range 1**: (1-380) → Market Research Analyst (380) Spread = 10
- **Range 2**: (381-780) → Director of Market Analysis (780) Spread = 10
- **Range 3**: (781-980) → Sales & Marketing Director (980) Spread = 10

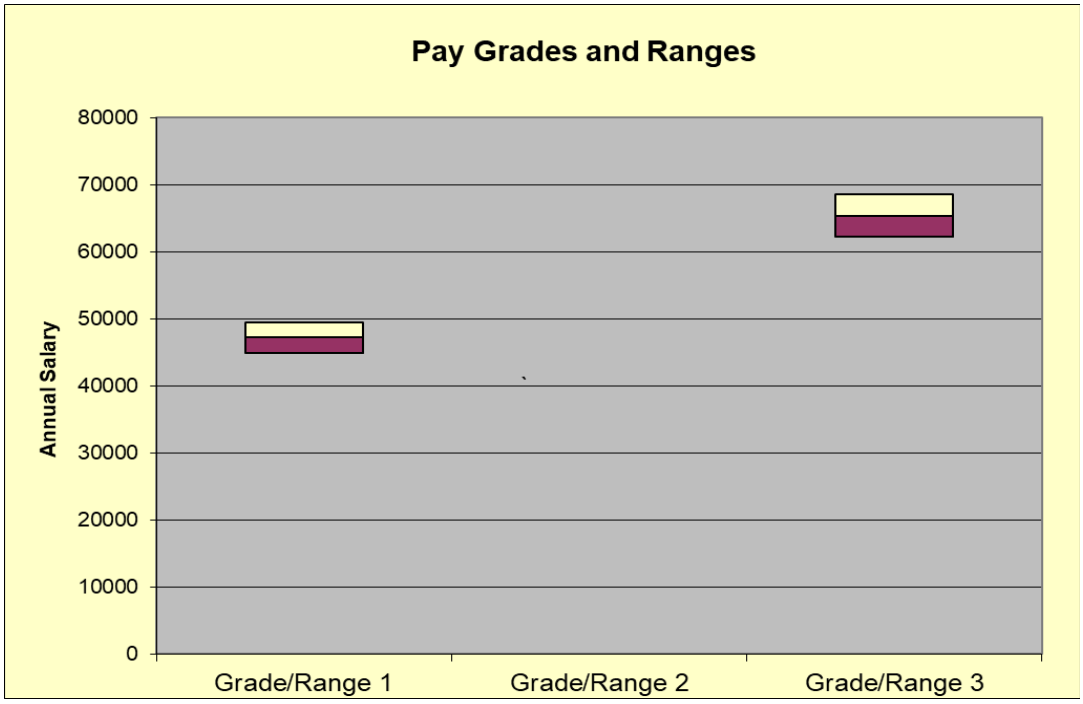
Appendix G: Market Pay Graph (Customer Service)



Appendix H: Pay Policy Lines (Customer Service)



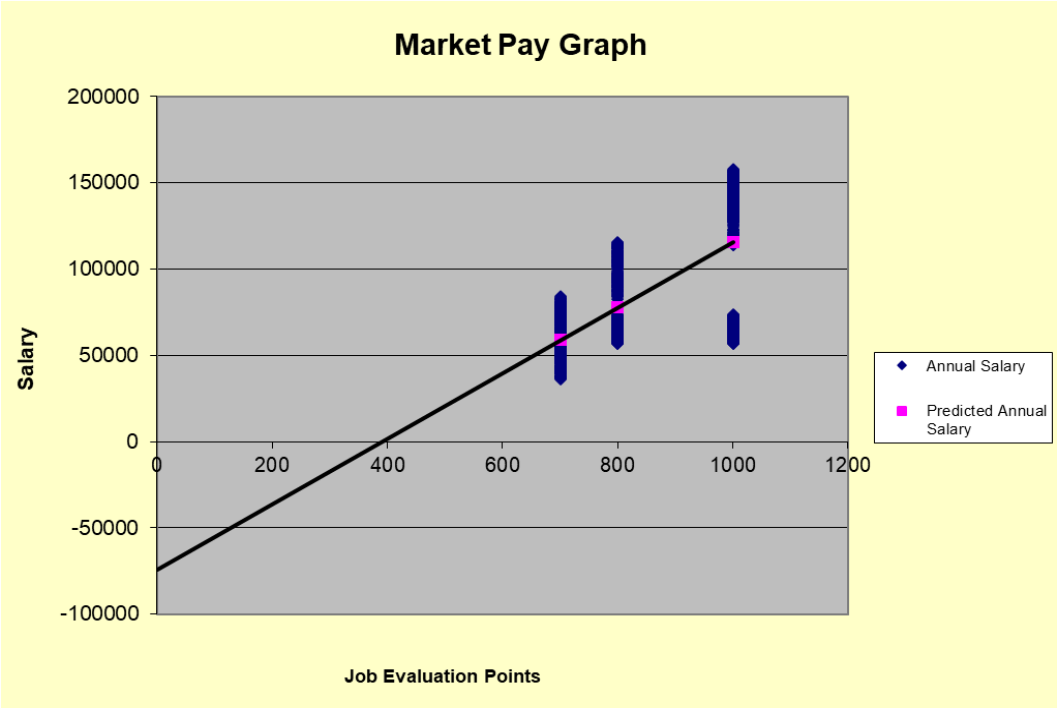
Appendix I: Pay Grades and Ranges (Customer Service)



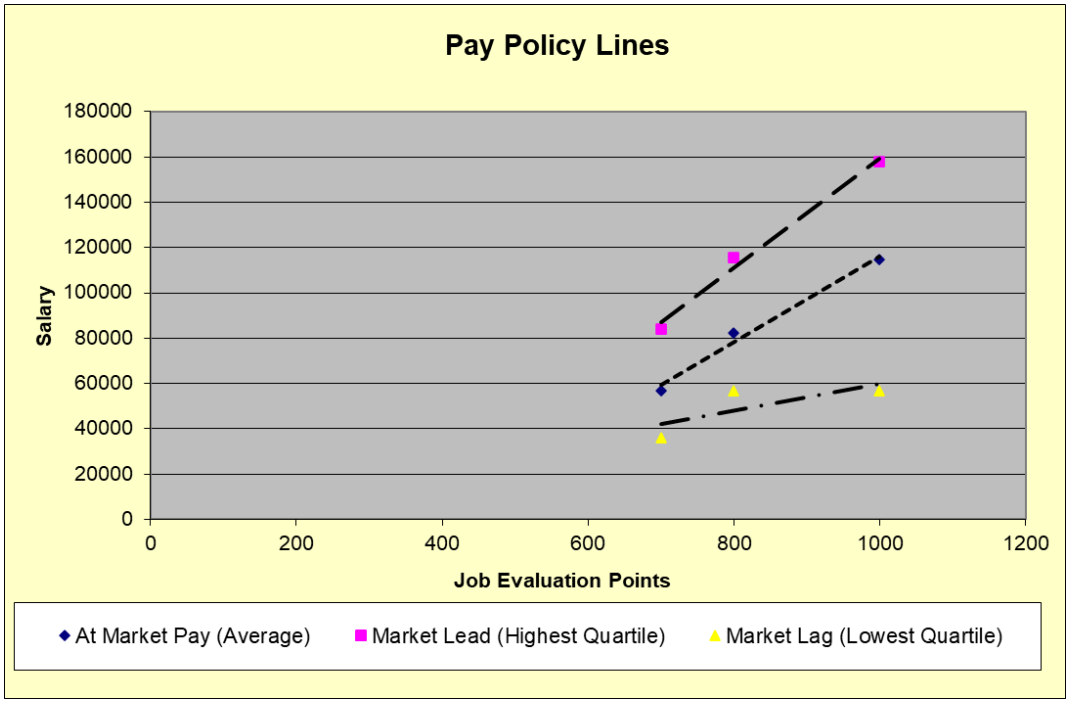
<u>Ranges</u>:

- **Range 1**: (1-200) → Customer Service Representative (200) Spread = 10
- **Range 2**: (201-660) → Customer Service Manager (660) Spread = 10
    - *Customer Service Manager as used in the Internal project section was not listed, but have included the respective points for reference.*
- **Range 3**: (661-860) → Director of Customer Service (860) Spread = 10

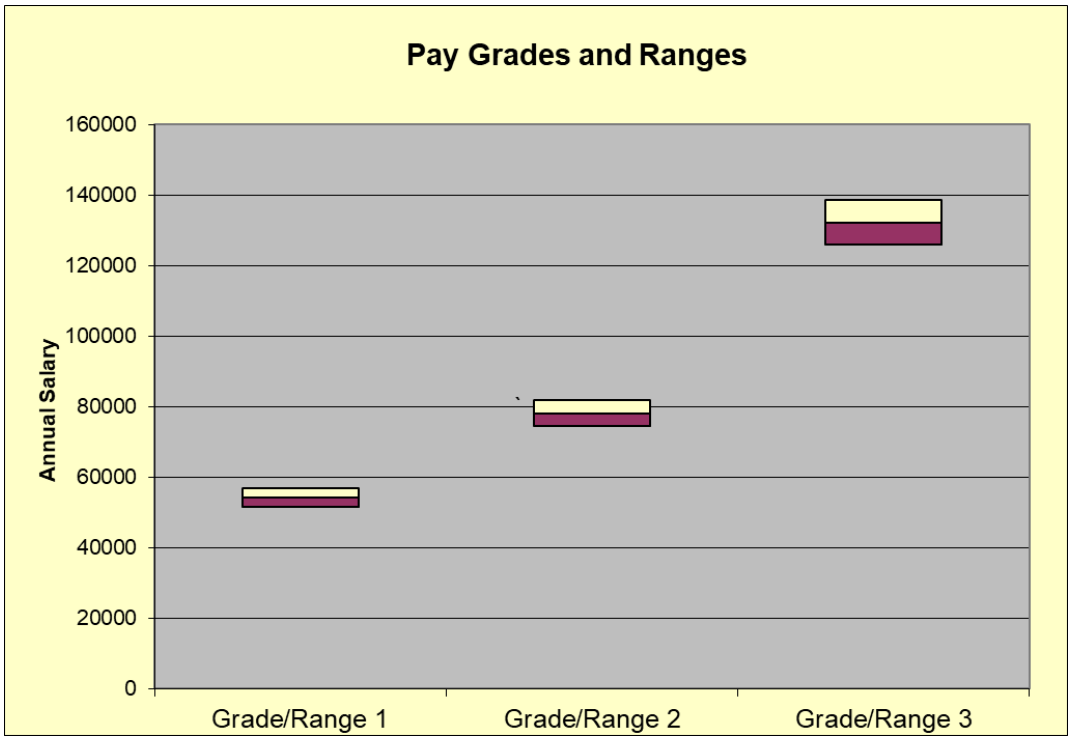
Appendix J: Market Pay Graph (Software Development)



Appendix K: Pay Policy Lines (Software Development)



Appendix L: Pay Grades & Ranges (Software Development)



Ranges:

- **Range 1**: (1-700) → Software Engineer (700) Spread = 10
- **Range 2**: (701-800) → Software Project Manager (800) Spread = 10
- **Range 3**: (801-1000) → Director of Software Development (1000) Spread = 10

Appendix M: Market Pay Lines and R2's for Each Job Structure

Structure	**Market Pay Line**	**r2**
Administrative	y = 76.14x + 10321.14	.72
Sales & Marketing	y = 59.72x + 26186.63	.48
Customer Service	y = 27.83x + 44122.16	.42
Software Development	y = 189.81x + - 74117.18	.50

Appendix N: Compensation Survey

Administrative

Job	Minimum	1st Quartile	Average	Median	3rd Quartile	Maximum
Administrative Assistant	36,203.59	38,975.54	40,810.45	40,789.72	42,915.88	45,209.70
Executive Assistant	44,417.28	47,247.89	49,041.15	49,010.88	50,906.55	53,502.62
Office Manager	52,708.37	57,643.89	62,519.19	61,512.88	68,055.46	73,551.63

Sales & Marketing

Job	Minimum	1st Quartile	Average	Median	3rd Quartile	Maximum
Market Research Analyst	41,377.01	46,809.28	49,512.71	49,559.74	52,176.57	57,836.86
Director of Market Analysis	52,732.10	62,991.05	71,819.93	70,461.18	80,903.17	94,505.37
Marketing Director	56,790.96	65,432.07	85,977.24	80,848.35	105,852.50	126,010.66

Customer Service

Job	Minimum	1st Quartile	Average	Median	3rd Quartile	Maximum
Customer Service Agent	36,126.19	41,407.97	49,688.68	47,151.69	58,166.21	68,151.72
Director of Customer Service	52,708.37	58,937.09	68,058.19	65,386.60	75,034.14	94,459.08

Software Development

Job	Minimum	1st Quartile	Average	Median	3rd Quartile	Maximum
Software Engineer	36,208.75	48,867.01	56,659.73	54,110.86	64,261.16	84,137.91
Software Project Manager	56,822.95	64,966.79	82,433.00	78,075.99	100,127.70	115,574.82
Director of Software Development	56,790.96	68,861.76	114,647.63	132,231.67	143,789.13	157,777.91